

the yuan decreases in value, the price of bitcoin increases. Such a correlation implies that people are likely buying bitcoin to protect themselves from further devaluation of the yuan.

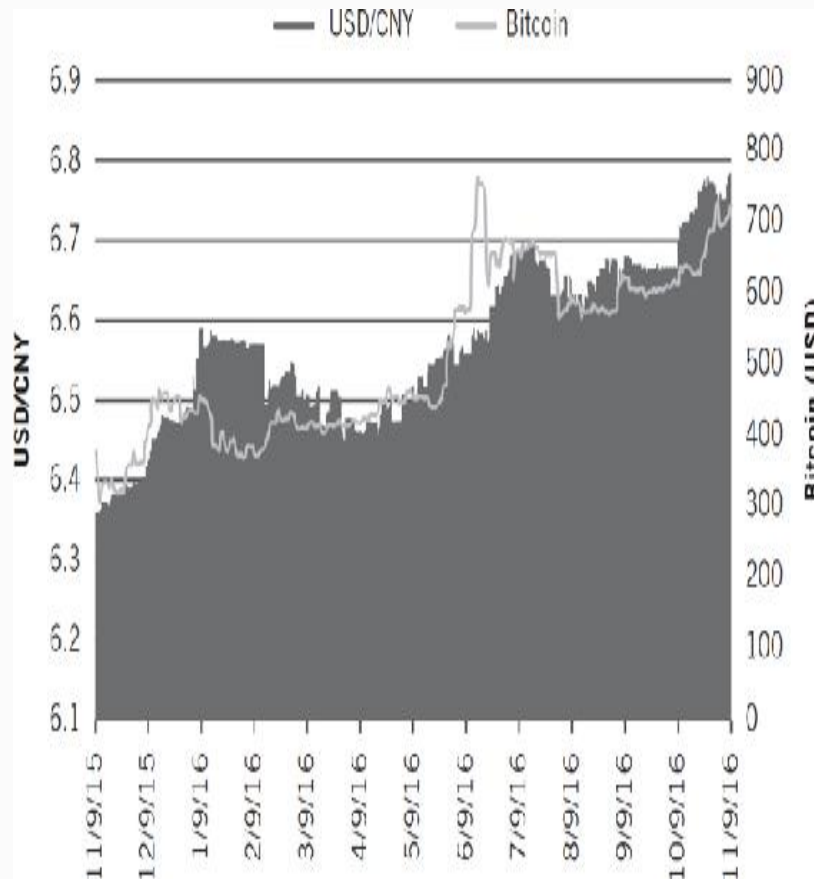


Figure 9.13 ■ Bitcoin's price history in relation to the devaluation of the Chinese yuan

Source: https://www.washingtonpost.com/news/wonk/wp/2017/01/03/why-bitcoin-just-had-an-amazing-year/?utm_term=.64a6cfd7398

While we expect to see bitcoin become increasingly correlated—either positively or negatively—with other broadly used asset classes, as new cryptoassets are born, they will likely have a low to zero correlation with the broader capital markets. At best, what they will show is some form of correlation with bitcoin, as it is of the same asset class. It